

NOW BACK TO OUR STORY

Of the 30 stocks in the Dow in 1900, only one, General Electric, is still there. The others have been taken out of the index. Why? Because they weren't doing so well! The keepers of the index change the makeup of the Dow as new companies rise up and old ones fall away. This distorts the performance figures greatly.

Who would leave money in the original Dow stocks for 111 years? No one. Alas, human beings are not programmed for stock market investing. They tend to project forward their recent experiences and forget the experiences of those who went ahead of them.

What probably would have happened to the typical investor is that he would have panicked out of stocks in the crash of 1920 or the crash of 1929—that is to say, at the worst possible moment. Stocks hit epic highs when people believe that there is nowhere to go but up. They hit epic lows when they think that down is destiny.

It is only when the majority of investors come to believe such things that the stock market can fully express its extreme highs and lows. And since the typical investor must be counted among the majority of investors, it is reasonable to expect that he would do the wrong thing at the wrong time along with everyone else.

Even if he had the fortitude to sit through such alarming crashes and held on through the Great Depression . . . and through the calamity at Dunkirk . . . and through the bombing of Pearl Harbor, he certainly wasn't going to make it all the way to the end of the war. Most likely, he would have given up somewhere along the way. He would have sold his stocks and switched his money to the safety of bonds.

Market historians are smirking. It turned out that moving into bonds at the end of World War II was fatal. Bonds went down for the next 30 years! Here again, the typical investor was the victim of his own perverse instincts. As bonds fell, the logic of getting out of bonds became more and more persuasive. If the typical investor didn't get out by 1970, surely he cut bait by 1980!

This time, he wasn't going to fall for stocks or bonds. He bought gold!